Project Falcon: Comprehensive Due Diligence Report

Draft for Investment Committee discussion

October 19, 2026

Fictional case study

Prepared by an AI multi-agent diligence system with human review

> This report is a draft for human decision-makers. It is not investment, legal or accounting advice. All companies, people and figures are fictional. US$ millions unless stated.

1. Executive summary

Bottom line

Proposed recommendation: Do not proceed at the current price of $24.00 per share. The Investment Committee (IC) makes the decision. We suggest re-engaging only at a materially lower price and with the conditions in Section 6.

The deal model values Talonfield on a March 2026 management case that the company itself replaced on August 6, 2026. On current earnings, $24.00 implies 15.1x LTM Adjusted EBITDA and 18.3x the new guidance midpoint, not 11.5x. The deal also triggers a termination right for the largest customer, and a patent case now moving against the company targets the product behind 42.0% of revenue.

Top five red flags

#	Red flag	Severity	IDs
1	Valuation basis is stale. The model uses $118.0m of FY2026 Adjusted EBITDA; August guidance is $70.0m to $78.0m. At the model's own 11.5x, LTM EBITDA supports $17.35 per share and guidance supports $12.66 to $14.56.	Critical	X-01
2	Norvale ($156.2m, 31.1% of revenue) can terminate on 90 days' notice after this change of control, has no minimum volume, and is building its own robot capability.	Critical	X-04
3	Vantor patent case: adverse claim construction ruling on Jul 22, 2026, not mentioned in the Aug 6 10-Q; no accrual; injunction sought on Gen-3 (about $211.0m, 42.0% of revenue); trial Mar 8, 2027.	Critical	X-05
4	Revenue quality: $31.8m of Q4 2025 revenue was bill-and-hold; ex bill-and-hold FY2025 growth was 11.6%, not 19.1%; $9.4m was returned in May 2026. A related material weakness is still open.	High	X-02, X-06
5	Covenant compliance is weaker than reported: 2.65x with the 15% add-back cap vs 2.26x reported; projected 3.06x to 3.56x at Dec 31, 2026 against a 3.00x maximum (projection).	High	X-03

Positive and mitigating points

- Software keeps growing. FieldOS ARR rose from $139.2m to $146.8m in H1 2026 and software revenue grew 14.6%; net revenue retention is still above 100% at 111% (X-11, FIN-08).
- The market is growing. A third-party report expects the North America warehouse robot market to grow about 15% a year to 2030, with Talonfield ranked third at about 11% share (`data/news/2026-08-20_warehouse-tech-review_market-report.md`).
- The covenant was met at Jun 30, 2026 under every reading (2.65x to 2.75x against 3.50x) (FIN-14).
- The remaining $22.4m of bill-and-hold goods was delivered by Jun 30, 2026 (SEC-03).
- No litigation seeks to block the merger, and Vantor has not sought a preliminary injunction (LIT-08).
- The company did disclose the bill-and-hold reversal, the guidance cut and new lawsuits in its 10-Q (SEC-03, SEC-01, SEC-12).

Valuation implications

Basis	EBITDA	EV / EBITDA at $24.00	Value per share at 11.5x
Deal model (March 2026 case)	118.0	11.5x	$24.00
LTM Adjusted EBITDA (company)	89.7	15.1x	$17.35
FY2026 guidance midpoint	74.0	18.3x	$13.61
FY2026 guidance range	70.0 to 78.0	17.3x to 19.3x	$12.66 to $14.56
LTM covenant (capped) EBITDA	76.4	17.7x	n/a
LTM reported EBITDA	48.2	28.1x	n/a

EV at $24.00 is $1,352.8m: equity $1,159.2m (48.3m shares) plus net debt $193.6m at Jun 30, 2026. Per-share values deduct the same net debt (illustrative arithmetic, not a valuation). The quoted 34% premium is measured on a post-leak price; on the implied pre-report price of $15.36 it is about 56.3% (inference) (X-12).

2. Answers to the six IC questions

Q1. Is Talonfield's revenue growth real and sustainable?

Partly real, but lower than reported and slowing.

- Reported FY2025 growth of 19.1% includes $31.8m of Q4 bill-and-hold revenue. Without it, FY2025 grew 11.6% and Q4 2025 grew 5.1% instead of 32.4% (X-02, FIN-16).
- $9.4m of that revenue was returned and credited in Q2 2026 by the largest customer. The 10-Q says customers "pulled forward" orders into Q4 2025 (SEC-03, FIN-17).
- Since then: Q1 2026 +0.7%, Q2 2026 -4.0% (+6.0% before $11.7m of credits). Backlog is down 29.8% from Dec 31, 2024, NRR fell from 118% to 111%, and H1 gross margin fell to 38.0% (X-11).
- Guidance now implies FY2026 revenue of $470m to $490m, below FY2025's $502.3m (SEC-01).
- Allegations by a short seller and in a securities class action say the bill-and-hold sales were improper. These are allegations only (X-02, LIT-04).

Q2. Are there legal exposures that could reduce value or block closing?

Yes, they could reduce value. None found that would block closing directly.

- **Vantor patent case (Critical):** the court adopted Vantor's construction of three of four disputed terms on Jul 22, 2026; the stay was denied; Vantor will seek a permanent injunction on Gen-3, about $211.0m (42.0%) of FY2025 revenue. Vantor claims "not less than $140 million" (12.1% of equity value); its expert puts royalty damages at $96.4m. Trial is Mar 8, 2027 and mediation is in December 2026. The company has no accrual and its Aug 6 10-Q did not mention the ruling (X-05).
- **Securities class action (High):** filed Jun 3, 2026 against the company, the CEO and the former CFO; amended complaint due Nov 9, 2026; no damages amount stated (SEC-12, LIT-04, LIT-05).
- **Pinecrest (Medium):** $12.0m claim over the April outage; company says its cap is about $1.4m; hearing Nov 5, 2026 (X-07, LIT-06).
- No matter seeks to enjoin the merger (LIT-08). The closing-related risks are contractual (Norvale, lenders), not litigation.

Q3. How dependent is Talonfield on key customers, and are those relationships at risk?

Highly dependent, and the top relationship is at risk.

- Norvale Retail Group is rank 1 at $156.2m (31.1% of FY2025 revenue); top 10 customers are 61.5% (FIN-03).
- Norvale can terminate on 90 days' notice after a change of control, has no minimum volume, and its MSA ends Sep 30, 2027 (SEC-10).
- Norvale acquired robot startup Kinetic Aisle to "reduce our dependence on any single vendor" and plans a 2027 pilot (NEWS-07).
- $24.6m of Norvale's 2025 revenue was bill-and-hold, and the $9.4m return was with the largest customer (Norvale, inference). Norvale held 38% of receivables (about $46.2m) at Dec 31, 2025 (X-04, FIN-18).
- Named parties checked against the customer list: Pinecrest is rank 4 ($17.4m, 3.5%) and is suing; Harbor & Vine Grocers is rank 5 ($15.1m) and expanded in February 2026. Vantor, Kinetic Aisle, Delmarco and Greyfin are not among the top 10 customers (FIN-20, not verified).

Q4. Are there balance sheet, debt or liquidity issues we would inherit at closing?

Yes. Manageable through refinancing, but tight before closing.

- A change of control is an event of default that lets lenders demand repayment of all $227.5m of debt, so it must be refinanced or waived at closing (SEC-07).
- The reported 2.26x leverage ratio appears to ignore the 15% cap on add-backs; with the cap it is 2.65x. The maximum fell to 3.00x from Sep 30, 2026. On guidance, the Dec 31, 2026 ratio projects to 3.06x to 3.56x (projection); the Sep 30 result is not in the data (X-03).
- Cash conversion has collapsed: OCF fell from $40.8m (FY2024) to $9.7m (FY2025) and -$4.2m (H1 2026); LTM free cash flow is -$26.4m (FIN-06). Liquidity was $59.7m at Jun 30, 2026 (FIN-19).
- Receivables rose 62.0% in FY2025 while the allowance was cut; the allowance was raised again by Jun 30, 2026 (X-08). Goodwill and intangibles ($132.5m) exceed book equity ($92.0m) (X-09).
- Transaction costs include $28.6m of change-in-control payouts, $17.6m of it single-trigger equity (SEC-16).

Q5. Are there management, governance or internal control concerns?

Yes, several connected ones (X-06).

- The auditor was dismissed on Nov 10, 2025 after flagging a material weakness and saying Q4 non-standard revenue would need more audit work. The weakness (which covers bill-and-hold) was still not remediated at Jun 30, 2026 (SEC-04, SEC-05).
- The CFO resigned Jan 20, 2026 with a $900,000 payment; the 8-K says there was no disagreement, while anonymous sources report a dispute over Q4 revenue timing (rumor). The CFO role has been interim for about eight months (SEC-14, NEWS-05).
- 2025 bonuses paid at 142% of target; revenue without bill-and-hold ($470.5m) was just above the $470.0m threshold. No clawback policy appears in the proxy excerpts (SEC-15, SEC-27).
- Disclosure judgments look aggressive: the Vantor ruling was left out of the 10-Q (SEC-23) and the cyber incident was judged "not material" while a $12.0m customer suit was pending (X-07).
- An entity controlled by the CEO's family owns the HQ lease and can reset rent on a change of control (SEC-17).

- Adjusted EBITDA relies on add-backs (46.3% of LTM), with restructuring added back every year since FY2022 (X-10).

Q6. What price adjustments or deal protections should we ask for?

See Section 6. In short: re-base the price on current earnings (11.5x on LTM or guidance points to $12.66 to $17.35 per share before synergies), make Norvale consent a closing condition, ring-fence Vantor with escrow or a specific indemnity (or wait for the PTAB decision and mediation), require Q3 2026 results and covenant certificates before signing, and obtain a quality of earnings report and forensic review of bill-and-hold contracts.

3. Risk matrix

One row per distinct issue. Parent ID first, supporting IDs in brackets.

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
X-01 [SEC-01, NEWS-01, FIN-01]	Deal model uses a $118.0m EBITDA case replaced by $70.0m to $78.0m guidance. Critical test: changes value by more than 10%; at 11.5x, LTM EBITDA supports $17.35 per share, 27.7% below $24.00.	Cross-source	Critical	High	Valuation	Price: re-base on LTM or guidance
X-04 [SEC-10, FIN-03, NEWS-07, FIN-18, SEC-27]	Norvale (31.1% of revenue) can terminate on 90 days' notice after this change of control and is building an in-house alternative. Critical test: changes value by more than 10%; the deal itself triggers a right over $156.2m of revenue.	Cross-source	Critical	High	Valuation, closing	Condition: Norvale consent or waiver before signing; structure: earn-out tied to Norvale revenue
X-05 [LIT-01, LIT-02, LIT-03, LIT-09, SEC-11, SEC-23, SEC-28, FIN-21]	Vantor case moving against Talonfield; ruling not in the 10-Q; no accrual. Critical test: changes value by more than 10%; injunction sought on Gen-3, 42.0% of revenue; claim at least $140.0m (12.1% of equity value).	Cross-source	Critical	Medium	Valuation, post-closing	Indemnity and escrow; further diligence (patent counsel, design-around); consider timing after PTAB and mediation

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
X-02 [SEC-02, SEC-03, FIN-16, FIN-17, FIN-02, NEWS-02, NEWS-03, LIT-04, SEC-21]	$31.8m Q4 2025 bill-and-hold; growth 11.6% without it; $9.4m returned; allegations of improper use.	Cross-source	High	High	Valuation, disclosure	Indemnity for revenue recognition; forensic review; price
X-03 [FIN-14, FIN-15, SEC-06, SEC-07, FIN-07, FIN-19, SEC-08]	Covenant 2.65x capped vs 2.26x reported; projected 3.06x to 3.56x at Dec 31, 2026 (projection); $227.5m to refinance at closing.	Cross-source	High	Medium	Financing, closing	Condition: Q3 compliance certificate; interim covenants on revolver draws and add-backs; refinancing plan
X-06 [SEC-04, SEC-05, SEC-14, SEC-15, NEWS-04, NEWS-05, NEWS-12]	Auditor dismissal, open material weakness, CFO exit with $900,000, bonus reliant on bill-and-hold.	Cross-source	High	High	Governance, post-closing	Representations on financial statements and controls; finance leadership plan; clawback review
X-07 [SEC-13, SEC-24, NEWS-06, LIT-06]	Cyber incident judged "not material" with a $12.0m suit pending; at least 40 sites per news; data-theft claim unverified.	Cross-source	High	Medium	Disclosure, post-closing	Cyber indemnity; forensic report as diligence condition
X-10 [FIN-04, NEWS-08, FIN-13]	Add-backs 46.3% of LTM Adjusted EBITDA; restructuring every year since FY2022.	Cross-source	High	High	Valuation	Price on normalized EBITDA; quality of earnings report
X-11 [FIN-08, FIN-09, FIN-10, FIN-06]	Five indicators weakening: revenue, backlog, NRR, gross margin, shipments; LTM FCF -$26.4m.	Cross-source	High	High	Valuation	Price; updated forecast before signing
SEC-12 [LIT-05]	Securities class action names the company, CEO and former CFO; amended complaint due Nov 9, 2026.	SEC / Litigation	High	High	Post-closing liability	Specific indemnity; D&O tail; review amended complaint before signing
X-08 [SEC-09, SEC-26, FIN-05]	Allowance cut at Dec 31, 2025 for "improved collection"; up 30.8% by Jun 30, 2026 while gross AR fell 11.4%.	Cross-source	Medium	High	Working capital	Working capital peg; AR aging review

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
X-09 [SEC-19, SEC-25, FIN-11]	Goodwill tested Oct 1, 2025; guidance and share price have since fallen; no interim test disclosed.	Cross-source	Medium	Medium	Purchase accounting	Further diligence: Lumora reporting unit test
X-12 [NEWS-09]	34% premium is on a post-leak price; about 56.3% on the pre-report price (inference).	Cross-source	Medium	Medium	Price	Negotiate on unaffected price
X-13 [SEC-20, NEWS-10]	Single LiDAR supplier manufacturing in China; tariff may rise from 7.5% to 25%.	Cross-source	Medium	Medium	Margin	Integration plan: second source
SEC-16	Change-in-control payouts $28.6m, $17.6m single-trigger equity.	SEC	Medium	High	Transaction cost, retention	Retention awards; price
SEC-17	CEO-family landlord can reset HQ rent to market on change of control.	SEC	Medium	High	Post-closing cost	Condition: waiver of rent reset at signing
FIN-12	$13.3m of buybacks in FY2025 while FCF was -$10.1m and revolver drawn $25.0m.	Financial	Medium	High	Governance	Interim covenant: no buybacks
LIT-08	No matter seeks to enjoin the merger; no preliminary injunction in Vantor (mitigating).	Litigation	Low	Medium	Closing	None

4. Workstream detail

4.1 SEC filings

- **Outlook replaced.** The Q2 10-Q (Aug 6, 2026) cut FY2026 revenue guidance to $470m to $490m and Adjusted EBITDA to $70m to $78m, replacing the March 9 outlook (SEC-01).
- **Bill-and-hold.** 10-K Note 2 discloses $31.8m of Q4 2025 bill-and-hold hardware revenue, $24.6m from the largest customer. The MD&A credits Q4 to "strong hardware deliveries" while Note 2 says the goods "remained in our warehouses" (SEC-02, SEC-21). In May 2026, $9.4m was returned (SEC-03).
- **Controls and auditor.** Material weakness over non-standard hardware contracts first identified in Q3 2025, adverse ICFR opinion at Dec 31, 2025, not remediated at Jun 30, 2026 (SEC-05). Auditor dismissed Nov 10, 2025 after warning of expanded Q4 procedures; the 8-K reports no disagreements (SEC-04).
- **Debt.** Total Net Leverage maximum 3.50x, then 3.00x from Sep 30, 2026; 15% cap on Permitted Add-backs; change of control is an event of default (SEC-06, SEC-07).

- **Customer contract.** Norvale MSA allows termination on 90 days' notice after a change of control (SEC-10).
- **Legal.** Vantor: no accrual; the 10-Q omits the Jul 22 ruling and any claimed amount (SEC-11, SEC-23, SEC-28). Securities class action and Pinecrest suit disclosed (SEC-12, SEC-13).
- **Cyber.** "Some customers" interrupted for up to three days; "not material"; no Item 1.05 8-K in the files (SEC-24).
- **Dated judgments.** Allowance cut at Dec 31, 2025 (SEC-09, SEC-26); goodwill tested Oct 1, 2025 with no interim test disclosed (SEC-19, SEC-25).
- **Governance and pay.** CFO exit with $900,000 (SEC-14); bonus at 142% (SEC-15); $28.6m change-in-control payouts (SEC-16); related-party HQ lease (SEC-17); single LiDAR supplier (SEC-20); no clawback policy in the excerpts (SEC-27).

4.2 News and media

Date	Event	Reliability
Nov 18, 2025	Auditor switch to a regional firm with fewer than ten public clients	High (reports filing)
Jan 23, 2026	CFO exit; anonymous sources report revenue-timing dispute (rumor)	High for facts; Low for reason
Mar 10, 2026	Record Q4; FY2026 guidance $555m to $565m; shares to $31.20	High
Apr 14, 2026	FieldOS outage at 40+ sites; ransomware claim unverified	Medium
May 12, 2026	Greyfin short report (allegations); shares -18% to $19.85	Low for claims; High for price
Jun 24, 2026	Norvale acquires Kinetic Aisle	Medium to High
Jul 30, 2026	About 60 jobs cut; fourth restructuring since 2022	High
Aug 7, 2026	Guidance cut; shares -14% to $16.40	High
Sep 15, 2026	LiDAR tariff proposal 7.5% to 25%	Medium
Oct 2, 2026	Sale exploration report (rumor); shares +12% to $17.20	Medium

Key findings: guidance cut coverage (NEWS-01); short seller claims partly confirmed by the company's own disclosure (NEWS-02, allegations otherwise unconfirmed); weak cash conversion noted at the record quarter (NEWS-03); auditor switch (NEWS-04); CFO exit (NEWS-05); outage scale (NEWS-06); Norvale insourcing (NEWS-07); recurring restructuring (NEWS-08); premium framing (NEWS-09); tariff risk (NEWS-10); five company statements weakened by later events (NEWS-12).

4.3 Litigation

Matter	Posture	Exposure	Next date
Vantor v. Talonfield (D. Del., patent)	Adverse claim construction Jul 22, 2026; stay denied Sep 25; mediation ordered	Claim at least $140.0m; expert $96.4m; permanent injunction on Gen-3 sought	Expert discovery closes Nov 20, 2026; trial Mar 8, 2027
In re Talonfield Securities Litigation (S.D. Ohio)	Lead plaintiff appointed Sep 10, 2026	Not stated	Amended complaint due Nov 9, 2026

Matter	Posture	Exposure	Next date
Pinecrest v. Talonfield (Franklin County)	Pleadings; cap motion pending	$12.0m claimed; company cap about $1.4m	Hearing Nov 5, 2026
Ruiz v. Talonfield Field Services	Settled, preliminary approval	$3.2m, accrued	Final approval Nov 13, 2026
Delmarco; OSHA	Closed	$0.4m claim; $48 thousand penalty	None

Findings: LIT-01 to LIT-06, LIT-08, LIT-09. Key dates cluster around the IC (Nov 6) and exclusivity expiry (Nov 20), so the IC will decide before most Vantor risk is resolved (LIT-03).

4.4 Financial analysis

Metric	FY2024	FY2025	H1 2026 / Jun 30, 2026 / LTM
Revenue	421.7	502.3 (470.5 ex bill-and-hold)	H1 222.6; LTM 498.4
Revenue growth	14.3%	19.1% (11.6% ex bill-and-hold)	H1 -1.7%
Gross margin	40.8%	41.1%	H1 38.0%
Reported EBITDA	52.3	64.1	LTM 48.2
Adjusted EBITDA (company)	74.8	98.8	LTM 89.7
Add-backs share of Adjusted EBITDA	30.1%	35.1%	LTM 46.3%
Operating cash flow	40.8	9.7	LTM -6.9
Free cash flow	24.6	-10.1	LTM -26.4
DSO (net AR, days)	63.5	86.4	85.4
Allowance / gross AR	3.80%	2.14%	3.16%
Net debt	151.7	178.4	193.6
Covenant leverage (capped)	2.32x	2.07x	2.65x (reported 2.26x)
Backlog	168.0	131.0	118.0
FieldOS ARR	109.5	139.2	146.8
Software NRR	119%	118%	111%
Norvale share of revenue	28.0%	31.1%	n/a

Findings: FIN-01 to FIN-19 and FIN-21. Highlights: the multiple at $24.00 on current earnings (FIN-01); bill-and-hold effect on growth (FIN-16, FIN-17); covenant recalculation (FIN-14, FIN-15); add-back reliance (FIN-04); cash conversion (FIN-06); Norvale concentration and receivables (FIN-03, FIN-18); liquidity of $59.7m (FIN-19). No quality of earnings report has been received.

5. Cross-source insights

What combining sources revealed that no single source showed:

1. **The deal model was built after the guidance it ignores.** The brief dates model v3 to September 2026; the 10-Q replaced its basis on Aug 6, 2026 (X-01).
2. **The Q4 2025 "record" was bill-and-hold.** News reported a record quarter; the 10-K notes show $31.8m was bill-and-hold; the CSVs show growth falls to 5.1% without it; the 10-Q shows $9.4m came back (X-02).
3. **The auditor, the CFO and the bonus all connect to Q4 2025 revenue.** The 8-K, news, proxy and 10-K together show the auditor was dismissed after flagging Q4 scope, the CFO left before the 10-K, and bonuses relied on the same revenue (X-06).
4. **The 10-Q left out a court ruling made 15 days earlier.** Only the docket shows the Jul 22 claim construction loss (X-05).
5. **The covenant ratio does not match the credit agreement definition.** Applying the 10-K Note 9 cap to the CSV add-backs gives 2.65x, not the reported 2.26x (X-03).
6. **The largest customer has both a contractual exit and a strategic reason to use it.** The 10-K gives the change-of-control right; news shows Norvale buying a competitor; the CSV shows it is 31.1% of revenue (X-04).
7. **Dated accounting judgments did not survive later events.** The Dec 31, 2025 allowance cut was partly reversed by June 2026 (X-08); the Oct 1, 2025 goodwill test predates a 37.3% guidance cut and a 42.8% share price fall since March 2026 (X-09); the "not material" cyber conclusion came with a $12.0m suit already pending (X-07).
8. **Recurring "non-recurring" items.** News reports a fourth restructuring since 2022; the reconciliation shows add-backs in every period (X-10).

6. Recommended deal protections and price considerations

Price

- Re-base on current earnings. At the model's 11.5x: $17.35 per share on LTM Adjusted EBITDA, $12.66 to $14.56 on August guidance (X-01). Synergies ($35.0m by year 3) should be valued separately and not paid away in full.
- Value the premium against the pre-report price (about $15.36), not $17.85 (X-12).
- Price on normalized EBITDA after a quality of earnings review of add-backs (X-10).

Conditions to signing or closing

- Norvale consent to the change of control, or a waiver of its termination right (X-04).
- Q3 2026 financial statements and the Sep 30, 2026 covenant compliance certificate before signing; lender consent or refinancing commitment for $227.5m (X-03).
- Waiver of the HQ lease rent reset by the CEO-family landlord (SEC-17).
- Forensic report on the April 2026 cyber incident (X-07).

Indemnities and escrow

- Specific indemnity and escrow for the Vantor case, sized against the injunction risk and the $96.4m to $140.0m damages range (X-05).
- Specific indemnity for revenue recognition (bill-and-hold returns or restatement) and the securities class action (X-02, SEC-12).

- Cyber indemnity, including the Pinecrest claim (X-07).

Structure

- Earn-out or contingent value tied to Norvale revenue retention (X-04).
- Interim operating covenants: no buybacks, limits on revolver draws and new add-backs (FIN-12, X-03).
- Replace single-trigger equity vesting with retention awards (SEC-16); finance leadership plan (X-06).

Timing

- Consider extending exclusivity past Nov 20, 2026 to see the PTAB '812 decision, the Nov 5 Pinecrest ruling, the Nov 9 amended securities complaint and the December Vantor mediation (LIT-03).

7. Open questions and management request list

1. Updated FY2026 forecast and Q3 2026 actuals; why model v3 kept the March case.
2. Covenant compliance certificates Q4 2025 to Q3 2026; reconciliation of 2.26x; how the 15% cap was applied; H2 2026 add-back forecast; equity cure rights.
3. Bill-and-hold contracts and written customer requests; identity of the $9.4m customer; payment status of the remaining $22.4m.
4. Norvale: consent position, 2026 volumes, AR aging, plans after Kinetic Aisle.
5. Vantor: why the Jul 22 ruling was not disclosed; loss range; design-around; settlement or licensing talks.
6. Cyber: forensic report, number of sites, Item 1.05 analysis, other claims, ransomware claim.
7. Auditor change: Audit Committee reasons; Linden Barr's opinion on the 2025 financial statements; remediation timeline.
8. CFO: separation agreement and release; reason for the $900,000; permanent CFO plan; why a $1.1m CFO search add-back was booked in FY2025 before the resignation.
9. Clawback policy and review of 2025 bonuses.
10. Goodwill: Oct 1, 2025 test inputs, interim analysis, Oct 1, 2026 test result, Lumora performance.
11. LiDAR supplier, contract, second-source plan, tariff cost.
12. Support for each add-back since FY2022; a quality of earnings report.
13. Whether shipment KPIs counted warehouse-held bill-and-hold units and removed returned units.
14. Full customer list beyond the top 10.

8. Appendix

8.1 Methodology

- **Architecture.** A lead agent (Agent Core) coordinated four read-only specialist subagents (SEC filings, news and media, litigation, financial analysis) and a citation verifier, using only files in `data/`. Working memory in `memory/` held the plan, findings register, open questions, key metrics, unedited analyst reports and a run log.
- **Iterations.** Two of three allowed Act/Observe iterations. Iteration 1: all four analysts in parallel (57 findings). Iteration 2: narrow follow-ups to the SEC and financial analysts on disclosure timing, the

covenant definition and bill-and-hold math (14 findings). The lead created 13 cross-source findings (X-01 to X-13). A third iteration was not used because the remaining questions need data outside `data/`.

- **Checkpoint log.**

Checkpoint	Content shown in chat	Decision
1. Approve plan	Questions, hypotheses, assignments, budget	"approve"
2. Red flags	Critical and High findings with severity tests, conflicts, open items	"proceed"
3. Sign off	Verification results and draft recommendation	"approve report"

- **Verification statistics.**

Run	Findings	Verified	Partially verified	Rejected
SEC filings	26	19	7	0
News and litigation	19	11	8	0
Financial	20	14	6	0
Cross-source	13	6	7	0
Total	78	50	28	0

All 28 Partially verified findings were rewritten with the verifier's corrected wording before this report. Severity changes from verification: FIN-15 Critical to High; LIT-08 Medium to Low.

8.2 Index of verified findings

- **Verified:** SEC-01, SEC-02, SEC-03, SEC-04, SEC-05, SEC-09, SEC-10, SEC-11, SEC-13, SEC-14, SEC-15, SEC-16, SEC-17, SEC-19, SEC-23, SEC-24, SEC-25, SEC-26, SEC-27; NEWS-02, NEWS-04, NEWS-06, NEWS-07, NEWS-08, NEWS-09, NEWS-10, NEWS-12; LIT-02, LIT-06, LIT-08; FIN-02 to FIN-13, FIN-18, FIN-21; X-01, X-04, X-07, X-09, X-10, X-13.
- **Partially verified (corrected wording used):** SEC-06, SEC-07, SEC-08, SEC-12, SEC-20, SEC-21, SEC-28; NEWS-01, NEWS-03, NEWS-05; LIT-01, LIT-03, LIT-04, LIT-05, LIT-09; FIN-01, FIN-14, FIN-15, FIN-16, FIN-17, FIN-19; X-02, X-03, X-05, X-06, X-08, X-11, X-12.
- **Rejected:** none.

8.3 Findings not verified (Low)

ID	Finding	Status
SEC-18	Combined Chair and CEO; no lead independent director; Hale owns 14.2%	not verified
SEC-22	Ruiz settlement $3.2m accrued at Dec 31, 2025; preliminary approval May 20, 2026	not verified
NEWS-11	FieldOS 5 features need Gen-3 or newer robots	not verified
LIT-07	Ruiz final approval hearing Nov 13, 2026	not verified

ID	Finding	Status
LIT-10	List of parties named in litigation records	not verified
FIN-20	Customer name check: Pinecrest rank 4, Harbor & Vine rank 5; Vantor, Delmarco, Kinetic Aisle, Greyfin not in top 10	not verified

8.4 Source index

- **SEC filings (`data/sec-filings/`):** TLFS 10-K FY2025 excerpts (filed Mar 9, 2026); 10-Q Q2 2026 excerpts (filed Aug 6, 2026); 8-K Nov 14, 2025 (auditor change); 8-K Jan 21, 2026 (CFO departure); DEF 14A 2026 excerpts (filed Apr 24, 2026).
- **News (`data/news/`):** 13 articles from Nov 18, 2025 to Oct 2, 2026 (Capital Markets Wire, Columbus Business Ledger, Warehouse Tech Review, Supply Chain Dispatch, RoboEconomy Weekly).
- **Litigation (`data/litigation/`):** LIT-001 Vantor, LIT-002 Ruiz, LIT-003 securities class action, LIT-004 Pinecrest, docket_index.csv.
- **Financials (`data/financials/`):** income_statement, revenue_quarterly, adjusted_ebitda_reconciliation, balance_sheet, cash_flow, kpis, revenue_by_customer (CSV).
- **Deal brief:** `data/deal-brief.md` (Oct 17, 2026).

8.5 Limitations

- SEC filings are excerpts; statements that something is "not disclosed" apply to the excerpts provided.
- No Q3 2026 data, management access, credit agreement text, contracts or quality of earnings report were available.
- The covenant analysis uses the summarized definition in 10-K Note 9; projections depend on stated assumptions.
- Customer data covers the top 10 only, for FY2024 and FY2025.
- News allegations and rumors are labeled as such and were not independently confirmed.
- Litigation outcomes are uncertain; this is not legal advice.
- All companies, people and figures are fictional.